‘monetary tightening’ in technical jargon, invariably attracts criticism, often ill-informed, that the high-interest-rate policy of the Reserve Bank is choking growth by inhibiting consumption and investment. My concurrent challenge therefore was to evangelize that any growth obtained in an environment of high inflation would be transient and that low and steady inflation is a prerequisite for sustained growth.

Exit from Crisis-driven Easy Policy

Over much of the previous year, 2008–09, we had run an easy monetary policy—low interest rates and ample liquidity—to mitigate the impact of the crisis on the economy. Rolling back that accommodation was always on the cards but the rapid pick-up in inflation meant that we had to do so sooner than we had originally thought. We were also aware that in contrast to the policy path on our way into the crisis, when being swift, even radical, was more important than the precise contours of the measure, in reversing our way out of the crisis, meticulous calibration had to be a critical part of the strategy.

Our dilemma was similar to the one that confronted the US Federal Reserve as it agonized over reversing its ultra-easy monetary policy. To be sure, the Federal Reserve had invested a lot of thought into embarking on the extraordinary monetary accommodation needed to fight the collapse of confidence in the financial markets in the wake of the Lehman meltdown. Given the ferocity of the crisis and the urgency of dousing fires, the broader decision to bring the interest rate down to the zero lower bound and undertake QE became much more critical than the precise contours of the policy. Just contrast this with the feverish debate and high drama that surrounded the taper and the eventual halt to the asset-purchase programme in 2014 as well as the interest rate ‘lift off’ in 2015, when so much seemed to hang on whether the markets were, in fact, prepared for these most expected ‘surprises’.

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